

# **The economy has memory as well**

## **The impacts of Argentina's last military dictatorship on economic growth**

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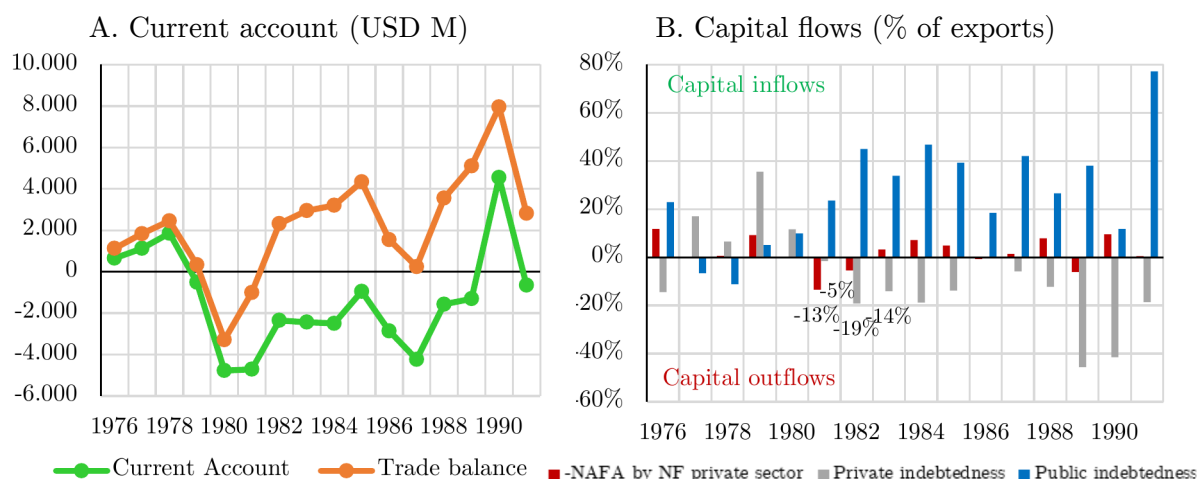
### **Summary**

This thesis analyses the impacts of Argentina's last military dictatorship on economic growth. It contributes to the debate on what some authors call the "Argentine failure": the divergence of Argentina's per capita output from that of some of today's developed countries over the course of the twentieth century. Chapter 2 systematises this debate according to the economic theory underlying the different hypotheses on the determinants of the divergence. Chapter 3 analyses, from a classical-Keynesian theoretical framework, how the economic policies and institutional reforms carried out by the dictatorship combined with the international context to produce a break in the economy's growth trend. Chapter 4 estimates the magnitude of the divergence produced by these policies using an econometric method known as synthetic control. Finally, chapter 5 assesses the implications of the results for the discussion on the "failure".

### **Main results**

- 1) The explanations surveyed in chapter 2 assume that growth is supply-led, that is, determined by the availability of productive factors, on the assumption that market mechanisms guarantee a tendency towards their full employment. Only a few rest on the classical theory of distribution (where wages or the rate of profit are exogenous, i.e. not necessarily determined by market forces), and none of them takes effective demand as a long-run determinant of growth. In contrast, the framework proposed in this thesis sheds light on the channels through which the military dictatorship constrained the growth of demand: the current account, public spending and wages.
- 2) The most significant and persistent effects were on the balance of payments. By 1983, external debt had risen to 150% of exports and interest payments reached 58% of exports. Financial liberalisation, high domestic interest rates and the pre-announced devaluations of the "tablita" encouraged short-term capital inflows, and public borrowing replaced private flows after the capital reversal of 1981. The current account became structurally negative despite the adjustment of the trade balance. This external constraint limited the scope for fiscal expansion and wage increases under the first democratic government, thereby restricting growth.

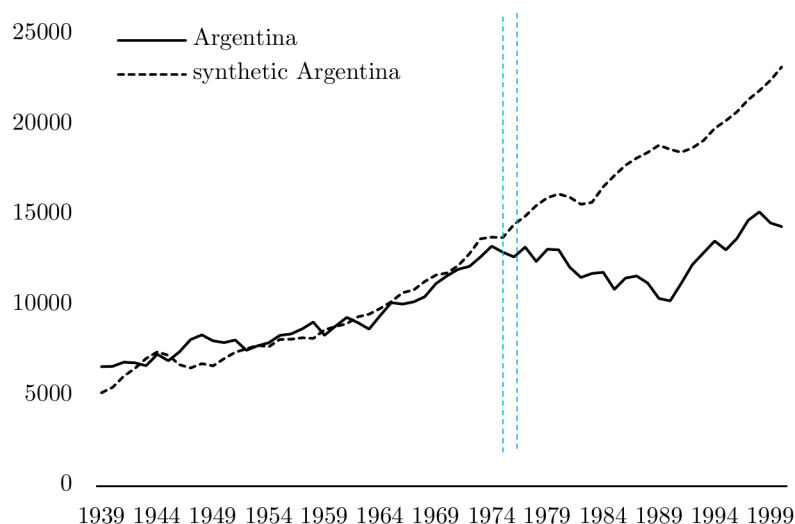
## Current account and capital flows



Source: Author's elaboration based on IMF.

- 3) Without the profound changes brought about by the dictatorship, Argentina could have reached a per capita output between 43% and 59% higher in 1991, growing at an average annual rate of between 1.4% and 1.9%, in line with countries such as Brazil, Australia, Mexico or Uruguay. These results are robust to a wide range of sensitivity analyses. The estimates suggest that the country did not undergo a break in its growth trend before 1976, so that the policies of the last military dictatorship are the main factor behind the divergence in Argentina's economic growth during the twentieth century.

## Counterfactual for Argentina's growth 1975-2000<sup>a</sup>



Source: Author's elaboration.

<sup>a</sup> Dashed lines mark the years 1975 and 1976.